

**BEFORE THE PUBLIC UTILITIES COMMISSION
OF THE STATE OF CALIFORNIA**



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Order Instituting Rulemaking to
Enhance Demand Response in
California.

Rulemaking 25-09-004
(Filed September 18, 2025)

**REPLY COMMENTS OF THE VEHICLE-GRID INTEGRATION COUNCIL ON THE
ADMINISTRATIVE LAW JUDGE'S RULING SEEKING COMMENTS ON DEMAND
RESPONSE STAFF PROPOSAL ON BRIDGE YEAR FUNDING AND MODIFYING
THE SCHEDULE FOR THE BRIDGE YEAR FUNDING ISSUE**

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In accordance with the Rules of Practice and Procedure of the California Public Utilities Commission (“Commission”), the Vehicle-Grid Integration Council (“VGIC”) hereby submits these reply comments on the *Administrative Law Judge’s Ruling Seeking Comments on Demand Response Staff Proposal on Bridge Year Funding And Modifying The Schedule For The Bridge Year Funding Issue* (“Ruling”), issued by Administrative Law Judge (“ALJ”) Brandon T. Gerstle on March 10, 2026, and the *Administrative Law Judge’s Ruling Modifying Schedule on Bridge Year Funding Issue and Posing Supplemental Questions* issued by ALJ Brandon T. Gerstle on April 8, 2026, which extended the comment deadline.

I. INTRODUCTION.

VGIC appreciates the opportunity to respond to party proposals for Demand Response (“DR”) Bridge Funding for 2028-2029. These comments focus on the critical reliability value provided by the Emergency Load Reduction Program (“ELRP”), especially as California faces the likely sunset of other contingency reliability programs and the continued absence of durable market pathways for distributed energy resources (“DERs”), including bidirectional electric vehicle charging systems. ELRP remains one of the only programs capable of deploying and

scaling bidirectional charging systems at a meaningful scale while also supporting grid reliability during emergency conditions.

ELRP does remain a pilot and should remain such during the 2028-2029 bridge years. In subsequent phases of this proceeding and during the next full DR application cycle, the Commission and stakeholders should consider how to transition ELRP from a pilot into a program or market-integrated pathway. Generally, VGIC believes that the Commission should come up with a comprehensive plan for making everyday use of California's millions of DERs to support the grid on an ongoing basis in this proceeding.

However, as California transitions toward longer-term market integration for DERs, bridge funding and program continuity are necessary to avoid disrupting emerging vehicle-grid integration ("VGI") investments and reliability capabilities. In response to party opening comments, VGIC provides the following replies:

- ELRP provides critical reliability value.
- DR bridge years 2028-2029 should be considered as part of the 2023-2027 DR Application cycle.
- ELRP Group A.5 compensation levels and minimum dispatch hours should remain as-is.

VGIC has also attached its completed inputs for the spreadsheet shared by PG&E for the Joint Case Management Statement to these comments.

II. ELRP PROVIDES CRITICAL RELIABILITY VALUE.

ELRP should be extended as a critical grid reliability program, unique in its ability to add capacity during grid emergencies and help prevent them. California is at risk of losing several major contingency reliability resources over the next several years, including the potential sunset of the Demand Side Grid Support ("DSGS") program and the sunset of once-through-cooling

plants in California’s Strategic Reliability Reserve.¹ Without ELRP, there will be few remaining pathways for clean DERs, particularly bidirectional charging systems, to continue providing reliability value in this manner.

The investor-owned utilities (“IOUs”) have already recognized the value of ELRP. Pacific Gas and Electric (“PG&E”) notes that “ELRP serves an important role as an emergency reliability tool during periods of extreme system grid stress.”² Southern California Edison (“SCE”) similarly outlines that ELRP “has consistently produced statistically significant load impacts since the pilot’s launch in 2021.”³ San Diego Gas and Electric (“SDG&E”) agrees and “recognizes that ELRP Groups A.4 and A.5 provide unique, verified, and dispatchable emergency load relief.”⁴ This value has been particularly significant for SDG&E customers because SDG&E currently does not have any other residential demand response (“DR”) programs available to EV customers, including customers with managed charging and/or bidirectional charging systems.

The Public Advocates Office at the California Public Utilities Commission (“Cal Advocates”) recommends that ELRP not be extended in its current form and instead argue that the program should either have its funding reduced or even sunset entirely.⁵ TURN states that funding should be reduced because the utilities have not spent their full ELRP budgets from 2023 to now.⁶ However, this perspective ignores that ELRP is a pay-for-performance pilot and costs are only incurred when participants provide actual load reduction. The relative lack of spending during

¹ See Department of Water Resources, *Electricity Supply Reliability Reserve Fund Progress Report*, August 1, 2025: <https://water.ca.gov/-/media/DWR-Website/Web-Pages/Programs/Electricity-Supply-and-Strategic-Reserve-Office/DWR-August-2025-JLBC-Report-1212.pdf>

² PG&E Opening Comments at 3.

³ SCE Opening Comments at 15.

⁴ SDG&E Opening Comments at 16.

⁵ Cal Advocates Opening Comments at 6.

⁶ TURN Opening Comments at 2-3.

2023 through 2025 largely reflects the absence of major Energy Emergency Alerts (“EEAs”) and severe grid stress events during this period, not a failure of the program itself. While Cal Advocates acknowledges that bulk grid emergencies have been less common in recent years,⁷ relatively mild weather and grid conditions in recent summers are not indicative of future system conditions.

In fact, the energy agencies have already shared expectations of higher-than-normal heat conditions, elevated wildfire risk, and low snowpack in 2026.⁸ California currently does not anticipate reliability shortfalls this summer, in part because California still has approximately 4,500 MW of contingency reliability resources available outside of the Resource Adequacy program.⁹ Importantly, more than 3,000 MW of these resources are tied to three once-through-cooling (“OTC”) natural gas plants contracted with the California Department of Water Resources (“DWR”) in the Electricity Supply Strategic Reliability Reserve, whose contracts are expected to sunset at the end of this year alongside the expiration of current permits for these OTC facilities.¹⁰ Meanwhile, DSGS, another key contingency reliability resource, may sunset in IOU territory.¹¹ **As a result, ELRP may become one of the few remaining out-of-market contingency reliability resources available during 2028 and 2029, and is likely to be the only major contingency program centered on clean, non-fossil DER resources.**

Importantly, the need for ELRP is not solely driven by reliability risk, but also by the continued absence of viable market pathways for DER exports, especially bidirectional charging systems. While market integration remains a valuable long-term goal to take advantage of grid

⁷ Cal Advocates Opening Comments at 9.

⁸ California Energy Commission, Summer Energy Reliability Workshop, May 4, 2026 at slides 4, 44, 104. Slides available at: <https://www.energy.ca.gov/event/2026-05/summer-energy-reliability-workshop>

⁹ Ibid at slide 71.

¹⁰ Ibid.

¹¹ See Trailer Bill Language: <https://trailerbill.dof.ca.gov/public/trailerBill/pdf/1398>

services from DERs, including EVs and bidirectional charging systems, there are still significant barriers to wholesale market participation, namely the lack of recognition and compensation for exports in CAISO’s Proxy Demand Response (“PDR”) model and, to a lesser extent, the feasibility of DER participation as a Non-Generating Resource (“NGR”). VGIC discussed these challenges in opening comments, but the lack of export compensation opportunities was also highlighted by the California Solar and Storage Association (“CALSSA”), Tesla, PG&E, and SDG&E.¹² As summarized by SDG&E, “Existing DR programs do not compensate these resources for exporting energy in line with existing CAISO and resource adequacy rules [...] Due to this lack of compensation, existing programs do not represent a viable replacement for ELRP for these technologies.”¹³

California is therefore at risk of dismantling one of its only scalable DER export pathways before replacement mechanisms are available. Enabling exports to participate in the CAISO wholesale market is currently being addressed by CAISO and should be discussed in this proceeding, but fully unlocking market participation will take time. Meanwhile, the Commission itself has repeatedly foregone opportunities to consider and adopt critical enhancements to resource adequacy valuation methodologies for behind-the-meter DERs, which could further incentivize DER participation in CAISO. As highlighted by PG&E, extending ELRP “provides continuity of emergency load-flexibility capabilities until successor programs or market-integrated mechanisms are available to meet this system need.”¹⁴ Maintaining ELRP is therefore critical not

¹² CALSSA Opening Comments at 2; Tesla Opening Comments at 6; PG&E Opening Comments at 5-6; SDG&E Opening Comments at 15.

¹³ SDG&E Opening Comments at 15.

¹⁴ PG&E Opening Comments at 4.

only for near-term reliability, but also for preserving continuity for customers and aggregators investing in DERs, including bidirectional charging systems, that are only now beginning to scale.

ELRP resources also have the potential to provide value beyond system-wide reliability emergencies. PG&E has noted that “ELRP batteries can meet emerging and multi-use grid needs, such as localized distribution needs,”¹⁵ and proposes to “allow dispatch of the ELRP subgroups for system stress and localized needs outside of a CAISO emergency status, either as a fleet or as a subset of participants.”¹⁶ VGIC supports allowing the utilities to dispatch ELRP resources outside of EEAs, both by maintaining utility discretion over dispatch to meet minimum dispatch hours and by expanding overall ELRP dispatch triggers to serve grid needs before official emergencies are declared. VGIC agrees with CALSSA that the Commission could consider high wholesale market prices, high temperatures, or high demand forecasts as additional dispatch triggers to ensure these resources contribute more consistently to grid reliability and system operations.¹⁷ Notably, any dispatch of customer resources in response to utility signals, whether during CAISO emergencies or for localized needs, must be recognized and compensated.

The reliability and operational value of ELRP is also likely to grow significantly in the coming years, especially for Group A.5 resources. In the near-term, all three IOUs have already noted increased customer interest in ELRP participation.¹⁸ For bidirectional charging systems in particular, deployments are only beginning to scale through programs such as PG&E’s V2X Pilots, which require ELRP participation for Phase 2 participants, and the California Energy Commission’s (“CEC”) Responsive, Easy Charging Products with Dynamic Signals

¹⁵ PG&E Opening Comments at 5.

¹⁶ PG&E Opening Comments at 5.

¹⁷ CALSSA Opening Comments at 3.

¹⁸ PG&E Opening Comments at 4; SCE Opening Comments at 14-15; SDG&E Opening Comments at 15.

(“REDWDS”) funding. California should therefore avoid scaling back the very programs needed to develop operational experience with bidirectional charging systems before durable long-term market structures are available.

III. DR BRIDGE YEARS 2028-2029 SHOULD BE CONSIDERED AS PART OF THE 2023-2027 DR APPLICATION CYCLE.

In Opening Comments, SCE recommends that “2028-2029 DR bridge funding should be clarified as a continuation of the 2023-2027 program and funding cycle so that unspent 2023-2027 cycle funding can be used to support DR programs and ELRP during the 2028-2029 bridge period.”¹⁹ VGIC strongly agrees that this is the most prudent path forward. Because the Staff Proposal and bridge funding structure largely extend existing programs with relatively minor modifications, it is reasonable to consider the bridge period as part of the existing DR funding cycle.

Allowing rollover of unspent funds from the 2023-2027 cycle will also help preserve program continuity during a period of significant uncertainty and transition. As discussed by SCE, allowing for funding rollovers from the 2023-2027 cycle will ensure “continued financial health of program operations” due to inflation.²⁰ Rollover funding is also important because ELRP participation is likely to increase substantially during the bridge years, particularly if DSGS sunsets.

It remains uncertain how many resources, including battery fleets and aggregated bidirectional charging systems, may transition from DSGS into ELRP and how this increased participation will impact available program funding. Allowing rollover funding will increase the

¹⁹ SCE Opening Comments at 2.

²⁰ SCE Opening Comments at 5.

likelihood that sufficient funds remain available to support ELRP participation in 2028 and 2029, especially as deployments of bidirectional charging systems become more widespread. This also prevents IOUs from needing to request budget increases to ensure sufficient ELRP funding, which would likely occur before the 2023-2027 leftover funds are returned to ratepayers via the Energy Resource Recovery Account (ERRA) applications.²¹ Lastly, maintaining funding continuity during this transition period will also help avoid disrupting customer and aggregator investments in emerging VGI technologies before more permanent market structures are established.

IV. ELRP GROUP A.5 COMPENSATION LEVELS AND MINIMUM DISPATCH HOURS SHOULD REMAIN AS-IS.

In Opening Comments, some parties recommend modifying the structure of ELRP by either decreasing the minimum dispatch hours for Groups A.4 and A.5 or reducing ELRP compensation levels from \$2/kWh to \$1/kWh.²² Neither of these proposed changes should be applied to Group A.5, VGI aggregations, at this time. The current compensation structure and minimum dispatch hours remain necessary to support customer participation, preserve reliability value, and continue scaling bidirectional charging resources. As detailed below, these proposed modifications directly work against the program's overall goals related to grid reliability, the market transition goals specific to customer group A.5, and the broader objectives of Senate Bill ("SB") 676 and Decision ("D.") 20-12-029.

A. Compensation and Dispatch Certainty Are Necessary to Maintain Participation.

²¹ SCE Opening Comments at 5.

²² See PG&E Opening Comments at 4-5; Cal Advocates Opening Comments at 8 (VGIC notes that Cal Advocates recommends eliminating all minimum dispatch hours); SDG&E Opening Comments at 12 (VGIC notes that SDG&E recommends reducing compensation to \$1.50/kWh instead of \$1/kWh).

As discussed by the Small Business Utility Advocates (“SBUA”), sufficient compensation levels and predictable dispatch opportunities are necessary to ensure that customers continue participating in ELRP.²³ When Group A.5 was first established in D.21-12-015, the Commission outlined why it was important to include these resources in ELRP:

“We acknowledge that the impact of including VGI aggregation under Group A.5 is uncertain, but we see the **pilot as an opportunity to deploy and scale this resource, which will be critical in the coming years to ensure EVs can enhance reliability...** We adopt minimum VGI dispatch hours of 30 hours per season as **an incentive for customers to participate in the program since they would otherwise have no assurance of receiving compensation.**” (emphasis added)²⁴

This reasoning remains directly relevant today, particularly for bidirectional charging customers. ELRP remains the only major program currently available to deploy and scale bidirectional charging systems across California. As discussed by VGIC in opening comments, there are no other DR programs that meaningfully allow for bidirectional charging system participation and many existing export rate structures, including legacy Net Energy Metering (“NEM”), Net Billing Tariff (“NBT”), and some dynamic rate pilots, do not consistently credit bidirectional charging systems for exporting to the grid. Because of this, the determination made in D.23-12-005 to maintain the \$2/kWh payment and 30-hour minimum dispatch hours because “the aggregators rely on minimum dispatch hours for revenue to exist,”²⁵ remains true today.

Without these program structures, customers will be less likely to participate in ELRP and enrollment in the program could even decrease over time. If ELRP is extended with compensation that does not enable customer participation, then these resources will be left stranded and unable to provide reliability value. Additionally, the utilities are likely to continue spending their full

²³ SBUA Opening Comments at 9.

²⁴ D.21-12-015 at 39-40.

²⁵ D.23-12-005 at 42.

administrative budgets even with low enrollment, wasting ratepayer funds. On the other hand, higher ELRP enrollment and dispatch are likely to make the program more cost-effective and will provide valuable capacity to the state.

B. Maintaining Dispatch Hours Will Improve Reliability and Policy Learning.

Instead of reducing minimum dispatch hours, the Commission should expand ELRP dispatch opportunities beyond solely balancing authority EEAs as suggested by parties.²⁶ Expanding event triggers would allow ELRP resources to help prevent system emergencies before they occur while also unlocking additional reliability and operational value from these resources. As detailed in Section II above, VGIC agrees with PG&E that utilities should retain discretion to dispatch the ELRP fleet to address other grid needs, including local distribution constraints and localized system stress events. Expanding dispatch opportunities while maintaining or even increasing the 30-hour minimum dispatch requirement would also significantly improve the amount of operational data available to IOUs, the Commission, and other stakeholders from bidirectional charging systems, which, to date, has represented a gap in understanding of resource availability and customer behavior.

With at least 30 hours of annual dispatch data from bidirectional charging systems, California will be able to develop a much more meaningful understanding of how these systems respond to DR signals and perform under varying grid conditions. This operational experience is critical because ELRP is fundamentally a pilot program intended to test new approaches for deploying bidirectional charging systems and other emerging DER technologies, and is **currently**

²⁶ PG&E Opening Comments at 5; CALSSA Opening Comments at 3; Leap Opening Comments at 7; Voltus Opening Comments at 5.

the only pilot available across all three IOU territories that assesses grid services provided by bidirectional charging systems. The results of ELRP will help inform future permanent programs and/or market integration pathways for these resources.

Without minimum dispatch hours, ELRP may fail to generate sufficient operational experience and data to meaningfully inform future policy and market design for bidirectional charging systems. The Commission cannot risk leaving the 18.5 GW of bidirectional charging system capacity that the California Energy Commission, with support from the National Laboratory of the Rockies, finds could be tapped into, as vehicle sit idle 95% of the time, completely untapped for reliability and critical learning purposes.²⁷ Maintaining the current dispatch structure will therefore maximize both the near-term reliability value and long-term policy value provided by these resources.

V. CONCLUSION.

VGIC appreciates the opportunity to provide these reply comments on the Ruling. We look forward to further collaboration with the Commission and stakeholders on this initiative.

Respectfully submitted,

/s/ Zach Woogen

Zach Woogen

Executive Director

VEHICLE-GRID INTEGRATION COUNCIL

Date: May 21, 2026

²⁷ CEC, *A Roadmap to Unlocking the Benefits of Bidirectional Charging* at p.3.

<https://efiling.energy.ca.gov/GetDocument.aspx?tn=268952&DocumentContentId=106145>

Appendix A: PG&E Joint Case Management Table

Issues / Facts	Stipulated for Bridge Funding	Non- Stipulated	Testimony Needed?
Bridge Period, Next DR Application, and Procedural			
The current DR application cycle funds IOU DR programs through the end of 2027.	Yes		No
A two-year bridge period for 2028-2029 provides continuity of the DR portfolio until the next DR application.	Yes		No
Minimizing the changes to the bridge period allows for expedient CPUC approval.	Yes		No
Advice letters are an appropriate mechanism to continue to propose program modifications until the next DR Application is filed.	Yes		No
Deferring the next DR Application cycle to 2030-2034 allows time for enough EDROIR policy issues to be resolved for the next application cycle.	Yes		No
The 2030-2034 DR Application should be filed on June 30, 2028.			
The 2030-2034 DR Application should be filed between December 15, 2028 and January 1, 2029.			
The 2030-2034 DR Application should be filed on March 1, 2029, or tied to the issuance of final policy decisions.			
OP 64 of D.23-12-005 requiring the next DR Application to be filed on November 1, 2026, should be vacated.	Yes		No
Cost Effectiveness and Societal Cost Test (SCT)			
The SCT is not available today in the DR Cost Effectiveness Tool to run on any bridge year proposals.	Yes		No
Updating the DR Cost Effectiveness Tool will take more time than the current Bridge Period schedule allows.	Yes		No
It is prudent to also update the DR Cost Effectiveness Tool for 2026 ACC values, recalculate the A-factor, and update the energy value, as described in the IOUs' opening comments.			
A budget of \$135,000 across the three IOUs to update the DR Cost Effectiveness Tool is appropriate.			
DR Cost Effectiveness should be run for the bridge years with the SCT, including ELRP.		No	No
DR Cost Effectiveness should be run for the bridge years without the SCT, including ELRP.		No	No
Staff Proposal's Recommendation to Eliminate Category 5 Pilots, Closing the Emergency Load Reduction Program (ELRP) Pilot			

Issues / Facts	Stipulated for Bridge Funding	Non- Stipulated	Testimony Needed?
Eliminating Category 5 Pilots and closing ELRP is prudent.		No	No
Retaining Category 5 Pilots and extending ELRP through the Bridge Period is prudent.	Yes		No
Modifying ELRP to close subgroups A2, A3, B1, and B2, and keeping subgroups A1, A4, and A5 is appropriate.	Yes		No
Reducing ELRP incentive levels reduces program costs.		No	No
Increasing ELRP incentive levels are necessary.		No	No
Reducing minimum dispatch requirement reduces program costs.		No	No
Increasing minimum dispatch requirement is necessary.		No	No
Increasing dispatch triggers increases program benefits.	Yes		No
Increasing event hours is necessary.	Yes		No
Testing market integration is reasonable to consider at this time.	Yes		No
Prohibited resources policy should be modified for ELRP at this time.			
ELRP enrollment processes should be modified at this time.	Yes		No
ELRP should transition to statewide administration during the Bridge Period.		No	No
ELRP dual participation should be modified at this time.		No	No
ELRP should be sunset on December 31, 2029.		No	No
Non-Category 5 Budgets			
Authorize annual budgets at the same level as 2027.			
Authorize increases to annual budgets.			
Authorize decreases to annual budgets.		No	No
CBP incentives and triggers should be updated.			
DRET funding should be increased.			
BIP incentives should be increased.			
Cost Recovery Mechanisms			
Authorize IOUs to carry over unspent prior-period funds into bridge years.	Yes		No
Authorize IOUs to return unspent funds and authorize new funds for the bridge years.		No	No
Other			
The Staff Proposal on Guiding Principles should be applied to the Bridge Period.		No	No
Evidentiary hearings should be waived.	Yes		No

Issues / Facts	Stipulated for Bridge Funding	Non- Stipulated	Testimony Needed?
Evidentiary hearings are needed.		No	No
Briefs should be waived.		No	No
Briefs are needed.	Yes		No
VGIC Additional Issues - ELRP Modifications			
Removing the requirement that ELRP Group A.5 resources participating via submetering pathways use only the Plug-in EV Submetering Protocol will remove barriers to participation and align submetering treatment between Groups A.4 and A.5.	Yes		No
Reserving modest funding specifically for ELRP Group A.5 will ensure that VGI resources are not left untapped and instead contribute to California's grid needs.	Yes		No